

FIXED ASSETS

What are fixed assets in Tally?

Fixed assets are the assets, which are responsible to generate revenue for business. They are the assets which are owned by the company like plant and equipment and are reported in the balance sheet as non-current assets under the headings, property, plant and machinery.

Examples of Fixed Assets: -

- Land: ...
- Buildings and factories: ...
- Furniture and Fixtures: ...
- Leasehold Improvements: ...
- Computer hardware, software, and office equipment: ...
- Vehicles: ...
- Machinery and Equipment: ...
- Tools:

Fixed assets are of two types: -

1. Tangible
2. Intangible

A tangible asset is an asset that has physical substance.

Examples of Tangible Fixed Assets include property (such as land and buildings), plant and machinery, equipment, and vehicles. These assets play a crucial role in the production and provision of goods and services and are used to generate income for the company.

Intangible Fixed Assets are non-physical assets that have value to a company.

Examples of Intangible Fixed Assets include patents, copyrights, trademarks, or software. Intangible Fixed Assets can be valuable for their potential to generate future revenue, enhance brand recognition, or provide competitive advantage.

A patent is a legal right granted by the government to an inventor, giving them exclusive rights to make, use, and sell their invention for a specific period of time. Patents are considered intangible assets because they do not have a physical form but provide economic benefits.

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A copyright is an intangible asset that lasts for the life of the creator + 50 years. In the hands of the creator, the value of the copyright is the cost for the legal fees to obtain the copyright. If a copyright is purchased, the value is the amount paid. The purchase price can be amortized over the useful life. A common example is an author holding the copyright to their novel, allowing them to decide if and how it's adapted into a film.

Trademarks are symbols, logos and designs representing the goods or services associated with them. Trademarks are used by a company or business to identify its brand or entity.